

Q&A

“Health, life insurance growth drivers for us”

Yashish Dahiya, Chairman & CEO of PB Fintech, talks about focussing on growth, sustaining profit, and the challenges the insurance industry is facing

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PB FINTECH—THE parent company of Policybazaar and Paisabazaar—turned profitable for the first time in Q3FY24. It reported a consolidated net profit of ₹38 crore, compared to a loss of ₹87 crore in the year-ago period and a loss of around ₹20 crore in the previous quarter. Yashish Dahiya, Chairman & CEO of PB Fintech, talks to Business Today about Policybazaar’s idea of growth, importance of back-end integration, and more. Edited excerpts:

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How has FY24 been so far in terms of growth and profitability?

We’re exceeding expectations in terms of growth, maybe by about 10%. Profit is just a by-product for us, but it’s pretty much on expected lines and is on track. Our focus is 80% on growth, knowing that profit follows. I think if you have growth, profit will eventually come. And

I think the growth part has done well. So, we feel good about it [profit].

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In Q3FY24, Policybazaar made a profit for the first time. Will this be sustainable?

The answer is yes. But please understand that

will keep changing because your fixed costs cannot grow. See, all internet businesses at a very fundamental level have something called operating leverage. It means that when you do incremental business, the investments are huge, which is why they incur losses in the initial years.

from new initiatives.

This year we are making losses of over ₹170 crore on new initiatives and both those [operating leverage and losses] and the fixed costs are now being covered well by the core business. So once you get to that stage, any incremental growth starts to flow to

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profit is, again, a by-product. Our business has reached a stage where it just has to make profits and if you go back to whatever we’ve been saying in previous interviews, it was always [going to be profitable in] Q3FY24. So it was exactly on expected lines.

The margin is a combination of seasonality and growth because as you keep growing, the margin

And if you’re making a significant amount of money, they’re hoping they have a break-even performance, because at some point your operating margin has to cover your fixed costs. We have been operating at roughly about 40 to 45% operating margin in the core business, and that has now reached a stage where it is taking care of all fixed costs, including the losses

the bottom line, because your fixed costs do not grow as much. I think if you look at the last two-three years, even though our fixed costs have grown at a slower rate, they have not declined.

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What are your growth drivers?

When you talk about our own product mix, maybe